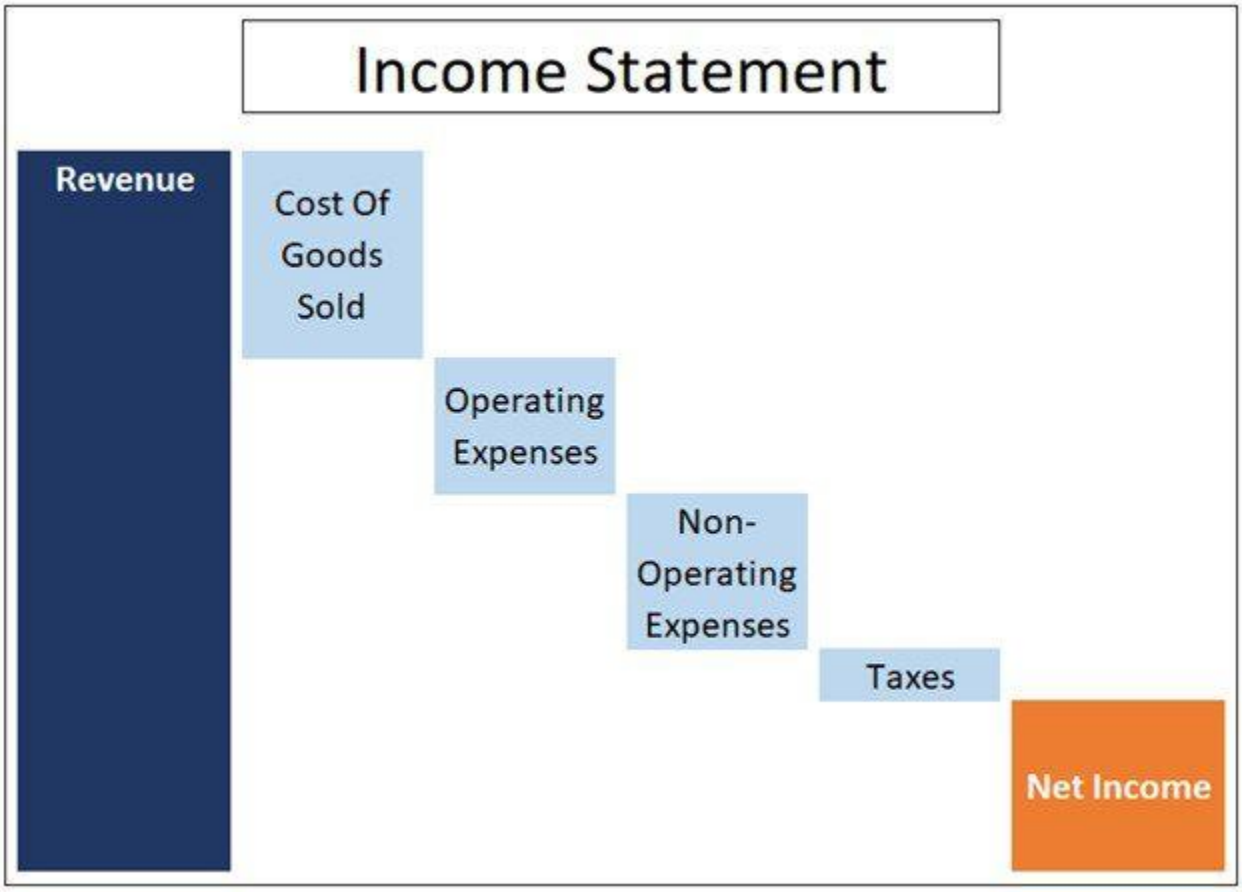
Income Statement

An income statement, also known as a profit and loss statement, is a financial report that summarizes a company's revenues and expenses over a specific period of time, typically a quarter or a year.

The income statement, or profit and loss statement, is one of the main financial statements of a business that shows its profit or loss for a specific period. Public companies operating in the United States are required by law to provide their income statement at the end of every quarter and fiscal year.



Components of an Income Statement

- **Revenue:** The amount of money a business takes in during a reporting period
- **Expenses:** The amount of money a business spends during a reporting period
- **Costs of goods sold (COGS):** The cost of component parts of what it takes to make whatever it is a business sells
- **Gross profit:** Total revenue less COGS
- **Operating income:** Gross profit less operating expenses
- **Income before taxes:** Operating income less non-operating expenses
- **Net income:** Income before taxes less taxes

- **Earnings per share (EPS):** Division of net income by the total number of outstanding shares
- **Depreciation:** The extent to which assets (for example, aging equipment) have lost value over time
- **EBITDA:** Earnings before interest, depreciation, taxes, and amortization

Importance of income statements

Understanding the significance of income statements in accounting is crucial for evaluating a company's financial health. Here are the key points:

1. **Performance Measurement**: Income statements provide a clear view of a company's profitability over a specific period.
2. **Revenue Tracking**: They detail revenue sources, helping identify which products or services are most profitable.
3. **Expense Management**: Income statements outline expenses, allowing businesses to control costs and improve efficiency.
4. **Investment Decisions**: Investors use income statements to assess a company's financial viability and make informed investment choices.
5. **Trend Analysis**: They enable comparison of financial performance over different periods, highlighting growth or decline trends.
6. **Tax Reporting**: Income statements are essential for calculating taxable income and ensuring compliance with tax regulations.
7. **Budgeting and Forecasting**: They assist in creating budgets and financial forecasts based on historical performance.
8. **Stakeholder Communication**: Income statements serve as a communication tool for stakeholders, including shareholders and creditors, about financial results.
9. **Regulatory Compliance**: They help companies meet legal and regulatory requirements for financial reporting.
10. **Strategic Planning**: Income statements inform strategic decisions by providing insights into operational efficiency and profitability.

Limitations of income statement

When examining the limitations of an income statement, consider the following points:

1. **Non-Cash Items**: Income statements include non-cash items like depreciation, which can distort actual cash flow.
2. **Historical Data**: They reflect past performance and may not accurately predict future profitability.
3. **Accounting Methods**: Different accounting methods (e.g., cash vs. accrual) can lead to varying results.
4. **Omissions**: Certain expenses, like opportunity costs, are not recorded, potentially misleading stakeholders.
5. **One-Time Events**: Income statements may include one-time gains or losses that do not reflect ongoing operations.
6. **Lack of Context**: They do not provide insights into the company's overall financial health or market conditions.
7. **Comparability Issues**: Variations in industry practices can make comparisons between companies difficult.
8. **Focus on Profitability**: They prioritize profitability over other important metrics like liquidity and solvency.
9. **Subjectivity**: Estimates and judgments in reporting can introduce bias and affect reliability.
10. **Limited Scope**: They do not capture all aspects of business performance, such as customer satisfaction or employee engagement.

Example #1

PQR Ltd.Income StatementAs on March 2018		
Particulars	**Amount**	**Amount**
Continuing Operations		
Revenue from contracts with customers		2000000
Cost of sales of goods	100000	
Cost of providing services	100000	200000
Gross Profit		1800000
Distribution Costs	100000	
Administrative Expenses	100000	
Net impairment losses on financial and contract assets	100000	-300000
Other Income	200000	
Other gains/losses	200000	
Operating Profit		400000
Finance Income	100000	
Finance Costs	50000	
Finance Costs(Net)		50000
Share of net profit of associates and joint ventures		50000
Profit before Income Tax		2000000
Income tax expense		500000
Profit from continuing Operations		1500000

Current Liabilities

Current Liabilities

Current liability is a financial obligation a company must settle within one year, including debts like accounts payable, short-term loans, and accrued expenses. These liabilities are crucial for assessing a company’s short-term financial health and liquidity.

Current liabilities are a company's short-term financial obligations, or debts that are expected to be paid within one year.

Current Liabilities Formula

Current Liabilities = Accounts Payable + Short-Term Loans + Accrued Expenses + Deferred Revenue + Current Portion of Long-Term Debt + Other Current Liabilities.

Types of Current Liabilities

1. **Accounts Payable:** Money owed to suppliers for goods or services received on credit.
2. **Short-Term Loans:** Loans and other borrowings that are due for repayment within one year.
3. **Accrued Expenses:** Expenses that have been incurred but not yet paid by the end of the accounting period.
4. **Deferred/ Unearned Revenues:** Payments received in advance for goods or services to be delivered in the future.
5. **Notes Payable:** Written promises to pay a certain amount of money by a specific date, usually within one year.
6. **Dividends Payable**: Dividends that have been declared but not yet paid to shareholders. The amount of money a company owes to its shareholders.
7. **Income Taxes Payable**: Taxes owed to the government that must be paid within the next year.
8. **Sales Taxes Payable**: Sales taxes collected from customers that must be remitted to the government.

9. **Wages Payable**: Wages earned by employees but not yet paid by the end of the accounting period.
10. **Bank account overdrafts:** Fees that accrue when a bank account is overdrawn
11. **Customer deposits:** Money received for services or products that have not yet been delivered.
12. **Interest payable:** Interest that has accrued during an operating period but has not yet been paid.

Difference between Liabilities and Current Liabilities

Aspect	Liabilities	Current Liabilities
Definition	Liabilities are all financial obligations a company owes to others, including both short-term and long-term debts.	Current liabilities are short-term financial obligations that a company must settle within one year.
Duration	Includes both short-term (due within one year) and long-term obligations (due after one year).	Specifically includes only those obligations that are due within one year.
Examples	Long-term loans, bonds payable, deferred tax liabilities, pension obligations.	Accounts payable, short-term loans, accrued expenses, deferred revenue, current portion of long-term debt, taxes payable.
Impact on Balance Sheet	Appears as a total figure on the balance sheet, categorized into current and non-current liabilities.	Appears under the current liabilities section on the balance sheet.
Financial Analysis	Used to assess overall financial health, leverage, and long-term solvency of the company.	Focused on evaluating the company's short-term liquidity and ability to meet immediate financial obligations.

What is a statement of retained earnings?

A statement of retained earnings shows changes in retained earnings over time, typically one year. Retained earnings are profits not paid out to shareholders as dividends; that is, they are the profits the company has retained. Retained earnings increase when profits increase; they fall when profits fall.

The statement of retained earnings is also called a statement of shareholders' equity or a statement of owner's equity.

Uses of Retained Earnings

Retained earnings are the profits that the company keeps for use internally or for when a need arises. The profits may be reinvested into certain revenue-generating activities of the company or used to make debt repayments. Other possible uses of retained earnings include:

1. **Expansion:** The Company may use the retained earnings to fund an expansion of its operations. The funds may go into building a new plant, upgrading the current infrastructure, or hiring more staff to support the expansion.
2. **New product launch:** A company may also use the retained earnings to finance a new product launch to increase the company's list of product offerings. For example, a beverage processing company may introduce a new flavor or launch a completely different product that boosts its competitive position in the marketplace.
3. **Dividend payments:** The surplus can be distributed to the company's shareholders according to the number of shares they own in the company.
4. **Merger or acquisition:** During the growth phase of the business, the management may be seeking new strategic partnerships that will increase the company's dominance and control in the market.

Example-1:

Supreme Ltd retained earnings of $ 38000 on January 1, 2025. The company reported a net income of $ 164000 for the year. The company, looking at good net income for the year, decided to pay a stock dividend of 10% on 10000 common shares when the shares were trading at $ 14 per share in the market.

Answer:

Retained Earnings on December 31, 2025 = Retained Earnings on January 1, 2025 + Net Income – Stock Dividends Paid

= 38000 + 164000 – (0.10 x 10000 x 14)

= 38000 + 164000 -14000

= $ 188,000

Example-1

Chan Ltd started 2015 with an opening retained earnings balance of $2,340. It earned a net income of $14,890 during the year and paid a dividend to preferred shareholders amounting to $4,210 and the equity shareholders worth $3,640. There was also a prior period adjustment of $2,400. The retained earnings at the end of the year 2015 will be calculated as below:

Chan Ltd

Statement of Retained Earnings

Particulars	Amount (in $)	Amount (in $)
Retained Earnings as of 1st January 2014		$2,340
Add: Net Income Earned During 2015		$14,890
		$17,230
Less:		
Dividend Paid to the Preferred Shareholders	$4,210	
Dividend Paid to the Equity Shareholder	$3,670	
Prior Period Adjustment	$2,400	**$10,280**
Retained Earnings as of 31st December 2015		**$6,950**

Statement of Cash Flows

A cash flow statement (CFS) is a **financial statement** primarily intended to provide information about the cash receipts and cash payments of a business during the period of time covered by the **income statement**.

The statement of cash flows (also referred to as the cash flow statement) is one of the three key financial statements. The cash flow statement reports the cash generated and spent during a specific period of time (e.g., a month, quarter, or year). The statement of cash flows acts as a bridge between the income statement and balance sheet by showing how cash moved in and out of the business. The three sections of the cash flow statement are: operating activities, investing activities and financing activities.

Objectives of the Cash Flow Statement

The main objectives of the cash flow statement are to provide information and knowledge about the following key areas:

1. **Knowledge of cash inflows and outflows:** The cash flow statement shows the various sources of cash inflow into the businesses, as well as where cash has been applied.
2. **Knowledge of trading profits:** The statement offers insights into how cash is generated and where it is being used, as well as what the balance is and whether it is in excess or not.
3. **Knowledge of increase or decrease in share capital:** The cash flow statement highlights the changes in share capital (whether it has increased or decreased).
4. **Knowledge of purchase or sale of fixed assets:** The statement provides useful information about the **purchase** or sale of fixed assets.
5. **Knowledge of increase or decrease in long-term loans:** The statement shows why long-term loans were raised or, if a loan is paid, what the source of the payment was.
6. **Knowledge of increase or decrease in cash balance:** The statement highlights the exact position of whether the cash in the business has increased or decreased over a specific period.
7. **Knowledge of tax and dividends paid:** This statement is useful in helping to learn about the amount that a business usually pays for taxes and dividends.

- Showing the Inflows and Outflows (sources and applications) of cash into/out of the business during a specific period.
- Disclosing the 'Positive' and 'Negative features of 'Cash Management' undertaken by the organization.
- Facilitating the policy formulation by the management in respect of certain financial matters such as Dividend Policy.
- Ascertaining the Liquidity Position of the business organization.
- Finding out the net changes having taken place in respect of 'Cash' and 'Cash Equivalents'.
- Studying the trend regarding 'Cash Receipts' and 'Cash Payments'.
- Finding out the 'Deviation of Cash' from 'Earnings'.
- Assessing the Financial Position of the business enterprise in a more realistic manner and forecasting the 'Cash Position'.

Purpose of Cash Flow Statement

Let’s look at the purpose of cash flow statement:

- Cash flow statement helps in identifying the sources of cash inflow and whether or not it’s utilized within a specific period of time

- It's significant for proper planning and management of cash and maintaining a balance between cash inflow and outflow
- Investors get to easily spot the efficiency, or the lack of it, with which a business generates its cash flow
- Appraisal of capital investment programs is done with the help of a cash flow statement, which determines their viability and profitability
- It enables assessment of net assets and other financial reports
- It's essential for stabilizing and optimizing an organization's cash flow
- It determines the overall health of a business and allows investors, creditors and shareholders to determine its financial reliability and efficiency to pay for operational expenses

Importance of Cash Flow Statement

The cash flow statement provides information regarding inflows and outflows of cash of an organization for a particular period. Therefore, we say that the following are the importance of cash flow statement:

1. The cash flow statement helps to identify the sources from where cash inflows have arisen and where in the cash was utilized within a particular period.
2. The cash flow statement is significant to management for proper cash planning and maintaining a proper matching between cash inflows and outflows.
3. The cash flow statement shows the efficiency of a firm in generating cash inflows from its regular operations.
4. The cash flow statement reports the amount of cash used during the period in various long-term investing activities, such as the purchase of fixed assets.
5. The cash flow statement reports the amount of cash received during the period through various financing activities, such as the issue of shares, debentures, and raising long-term loans.
6. Cash flow statement helps for appraisal of various capital investment programs to determine their profitability and viability.
7. A cash flow statement helps investors to judge whether the company is financially sound or not.

Difference between Cash Flow and Fund Flow Statement :

Basis	**Fund Flow Statement**	**Cash Flow Statement**
Nature of Statement	It states the changes in working capital.	It states the changes in cash position.
Object	The objective of preparing fund Flow Statement is to gather information with regard to an enterprise ability to meet its long term liabilities.	The objective of preparing cash flow statement is to gather information with regard to an enterprise ability to meet its short term liabilities.
Opening Balance	There is opening balance of cash in hand in the preparation of fund flow statement.	It is prepared with opening balance of cash in hand.

Period	Preparation of fund flow statement is for a longer period.	Preparation of cash flow statement is for a shorter period.
Planning	Fund flow statement facilitates long term planning of an enterprise.	Cash flow statement facilitates short term planning of the enterprise.
Dependence	Funds Flow Statement can be prepared with the help of cash flow statement.	Cash flow statement can't be prepared with the help of fund flow statement only.
Additional Statement	Preparation of fund flow statement is necessary followed by the preparation of an additional statement.	Preparation of cash flow statement is not followed by the preparation of any additional statement.
Difference of Sides	Difference between both the sides of fund flow statement is either in increase or decrease in working capital.	Difference between both the sides of cash flow statement is the closing balance of cash.

Advantages of Cash Flow Statement:

Preparation and analysis of cash flow statement have the following advantages:

1) It facilitates measurement of the business enterprise's ability to meet its fixed charges.

2) It is useful in bringing to the forefront the business enterprise's status with regard to its ‘Liquidity' and 'Solvency' during adverse conditions.

3) It is helpful in assessing the changes in 'Cash Position' between 'Profit & Loss Account' and 'Balance Sheet' items of two consecutive accounting periods.

4) Disclosures made by the 'Cash Flow Statement enables the management of a business enterprise to initiate preventive measures in financially difficult situations.

5) Identification of 'Discretionary Cash Flows' from business transactions becomes possible through 'Cash Flow Analysis'.

6) It facilitates listing out the 'Potential Financial Flows', which may be put to use during crisis conditions.
7) Cash Flow Statement reveals the information with regard to the availability of 'Cash'. Such information is very useful in deciding the quantum of 'Dividend' to be distributed to the shareholders or in extreme cases whether or not to skip a dividend payment altogether.

Disadvantages of Cash Flow Statement :

Cash flow statement is deficient in certain respects, some of which are as follows:

1) Non-Cash Transactions are overlooked:
The entire focus of Cash Flow Statement is exclusively on the 'Inflows' and 'Outflows of cash. Non-Cash Transactions' like purchase of buildings by issuing shares/debentures to the vendors or issue of bonus shares are out of its purview.

2) Not a Substitute for an Income Statement:
An 'Income Statement' of a business organization covers both 'Cash' and 'Non-Cash' items and reveals the 'Net Income'. 'Cash Flow Statement, on the other hand, takes into consideration only 'Cash Flows' and as such can show only 'Net Cash Flows' inflows or outflows. It cannot disclose the 'Net Profit/Loss' of the organization.

3) Limited Use:
'Cash Flow Statement' has very limited use in isolation. Only when it is accompanied by other 'Financial Statements' like 'Balance Sheet' and 'Profit & Loss Account', it provides some meaningful and useful results.

4) Historical in Nature:
Preparation of 'Cash Flow Statement' involves rearranging other Financial Statements, viz. 'Balance Sheet' and 'Profit & Loss Account, which contain past data and are historical in nature. It would have been more useful and prospective in nature, when accompanied with 'Projected Cash Flow Statement'.

5) Ignoring the Accrual Concept:
Accrual concept, one of the basic accounting concepts, is totally ignored while preparing cash flow statement.

Steps to Prepare the Cash Flow Statement

The procedure is the same as with a fund flow statement. The left-hand side records various **sources of cash** inflows and the right-hand side records the use or outflows of cash.

1. Cash inflows: Opening cash, cash from operations, issue of share capital, issue of **debentures**, issue of long-term loans, **sales** of fixed assets, and capital profits (**profit** on the sale of fixed assets)

2. Cash outflows: Cash lost in operations, redemption of preference shares, redemption of debentures, repayment of long-term loans, purchase of fixed assets for cash, and payment of **liabilities**.

Format/Specimen of Cash Flow Statement

Cash Inflow	Amount	Cash Outflow	Amount
1. Opening cash	xxxx	**Payment of:**	
2. Cash from operations	xxxx	1. Dividends	xxxx
3. Long-term loans	xxxx	2. Tax	xxxx
4. Increase in share capital	xxxx	3. Long-term loans	xxxx
5. Sale of fixed assets	xxxx	4. Decrease in preference share capital	xxxx
6. Issue of debentures	xxxx	5. Fixed assets purchase	xxxx
		6. Redemptions of debentures	xxxx
		7. Cash closing balance	xxxx

Format of Cash Flow Statement Preparation (Indirect Method) :

Cash Flow Statement

(for the period ended 31st March.....)

Particulars	Rs.
Cash Flows from Operating Activities Net Profit as per P&L A/c	

Add: Non-Operating Items:	
Depreciation on Building	
Depreciation on Machinery	
Depreciation on Machinery sold	
Increase in Provision for doubtful debts	
Dividend paid	
Transfer to Reserves	
Goodwill written off	
Preliminary Expenses written-off	
Other tangible assets written-off	
Loss on sale or disposable of fixed	
assets	
Less: Profit on sale of investment	
Profit on sale of machinery	
Operating Profit before Working Capital	
Changes	
Add: Increase in Current liabilities	
Decrease in Current assets	
Less: Increase in Current assets	
Decrease in Current liabilities	
Cash Generated from Operating Activities	
Less: Income tax Paid	
Net Cash Flows from Operating Activities (A)	
Cash Flows from Investing Activities:	
Add: Sale of Investments	

Sale of Machine	
Less: Purchase of Buildings	
Less: Purchase of Machinery	
Net Cash Flows from Investing Activities (B)	
Cash Flows from Financing Activities:	
Add: Issue of Share	
Add: Issue of Debenture	
Less: Redemption of Debentures	
Less: Interim Dividend Paid	
Less: Dividend Paid	
Net Cash Flows from Financing Activities (C)	
Net Increase/Decrease in Cash & Cash	
Equivalents (A + B+C)	
Cash& Cash Equivalents at the Beginning of the Year	
Cash &Cash Equivalents at End of the Year	

Note : In order to judge the accuracy of cash flow statement (indirect method) one has to examine that net increase/decrease in cash & cash equivalents (A+B+C) and cash & cash equivalents at the beginning of the year must be equal to cash & cash equivalents at end of the year. This can be written as,

Cash & Cash Equivalents at the, end of the year = Net Increase/Decrease in Cash & Cash Equivalents + Cash & Cash Equivalents at the beginning of the year.

Problem 1:

From the following balance sheets of Tarun Ltd., prepare the cash flow statement.

Liabilities	Tk (31.12.2015)	Tk (31.12.2016)
Equity Share Capital	2,00,000	2,50,000
12% Preference Share Capital	50,000	40,000
General Reserve	35,000	55,000
P & L A/C	15,000	17,000
Creditors	23,000	5000
	3,23,000	3,67,000
Assets		
Goodwill	30,000	20,000
Building	1,00,000	80,000
Plant	40,000	70,000
Debtors	1,20,000	1,60,000
Stock	18,000	20,000
Cash	15,000	17,000
	3,23,000	3,67,000

Adjustments:

i) Depreciation charged on Plant was Rs.30,000.

ii) Depreciation charged on building was Rs.50,000.

Solution:

Cash Flow Statement

(For the period ended 2016)

Particulars		**Tk**
Cash Flows from Operating Activities:		
Net Profit as per P&L AC 17,000 - 15,000)		2,000
Add: Non-Operating Items:		
Depreciation on Plant	30,000	
Depreciation on Building	50,000	
Goodwill written-off	10,000	
Transfer to General Reserve	20,000	1,10,000

Operating Profit before Working Capital Changes		1,12,000
Less: Decrease in Creditors (18,000)		
Increase in Debtors (40,000)		
Increase in Stock (2,000)		(60,000)
Net Cash Flows from Operating Activities (A)		52,000
Cash Flows from Investing Activities:		
Less: Purchase of Building (30,000)		
Purchase of Plant (60,000)		(90,000)
Net Cash Flows from Investing activities (B)		(38,000)
Cash Flows from Financing Activities:		
Add: Issue of shares (equity)	50,000	
Less: Redemption of preference shares	(10,000)	40,000
Net Cash Flows from Financing Activities (C)		2,000
Net increase in Cash & Cash Equivalents (A+B+C)		15,000
Cash & Cash Equivalents at the Beginning of the Year		
Cash & Cash Equivalents at End of the Year		**17,000**

Note:

Purchase of Building (80,000 + 50,000) - 1, 00,000 = 30,000

Purchase of Plant (70,000+ 30,000) - 40,000 = 60,000

Problem 2:

Prepare Cash Flow Statement of Suryan Ltd. from the following:

Balance Sheets

Liabilities	*1.1.06 Rs.*	*31.12.06 Rs.*	*Assets*	*1.1.06 Rs.*	*31.12.06 Rs.*
Share Capital	1,00,000	4,00,000	Goodwill	–	20,000
8% Debentures	–	2,00,000	Machinery	1,25,000	4,75,000
Retained Earnings	60,000	90,000	Stock	20,000	80,000
Creditors	40,000	1,00,000	Debtors	30,000	1,00,000
Bills Payable	20,000	40,000	Cash at Bank	50,000	1,50,000
Provision for Tax	30,000	40,000	Cash in hand	25,000	45,000
	2,50,000	8,70,000		2,50,000	8,70,000

Additional Information:

(a) During 2006, the business of a sole trader was purchased by issuing shares for Rs. 2, 00,000. The assets acquired from him were: Goodwill Rs. 20,000, Machinery Rs. 1, 00,000, Stock Rs. 50,000 and Debtors Rs. 30,000.

(b) Provision for tax charged in 2006 was Rs. 35,000.

(c) The debentures were issued at a premium of 5% which is included in the retained earnings.

(d) Depreciation charged on machinery was Rs. 30,000.

SOLUTION :

Cash Flows Statement of Suryan Ltd.,
for the year 2006

	Particulars	*Rs.*	*Rs.*
I	*Cash flows from Operating Activities :*		
	Profit before tax and extraordinary items	55,000[1]	
	Adjustments For :		
	Depreciation on Machinery	30,000	
	Operating Profit before Working Capital changes	85,000	
	Increase in Creditors (1,00,000 – 40,000)	60,000	
	Increase in Bills Payable (40,000 – 20,000)	20,000	
	Increase in Stock (Excluding Stock bought by issue of shares) (80,000 – 50,000 – 20,000)	(10,000)	
	Increase in Debtors (Excluding debtors acquired by issue of shares) (1,00,000 – 30,000 – 30,000)	(40,000)	
	Cash Outflow from Operations	1,15,000	
	Income Tax paid	(25,000)[2]	
	Net Cash from operating activities		90,000
II	*Cash flows from Investing Activities :*		
	Machinery Purchased for Cash	(2,80,000)[3]	
			(2,80,000)
III	*Cash flows from Financing Activities :*		
	Cash Proceeds from issue of shares	1,00,000[4]	
	Cash Proceeds from issue of debentures	2,10,000[5]	
	Net Cash flows from Financing activities		3,10,000
	Net Increase in Cash and Cash and Cash equivalents		1,20,000
Add :	Cash and Cash equivalents at the beginning of the year		75,000
	Cash and Cash equivalents at the end of the year		1,95,000

Workings :

(1)

		Rs.
	Closing retained earnings	90,000
Less :	Opening retained earnings	60,000
		30,000
Add :	Provision made for Tax	35,000
		65,000
Less :	Premium on issue of Debentures (2,00,000 × 5%)	10,000
	Net Profit before Tax and Extraordinary items	55,000

(2) Provision for Tax Account

	Rs.		Rs.
To Bank (Tax paid) (Balancing figure)	25,000	By Balance b/d	30,000
To Balance c/d	40,000	By Profit & Loss (Provision)	35,000
	65,000		65,000

(3) Machinery Account

	Rs.		Rs.
To Balance b/d	1,25,000	By Depreciation	30,000
To Bank (Purchase) (Balancing figure	2,80,000	By Balance c/d	4,75.000
To Vendor (Business Purchase	1,00,000		
	5,05,000		5,05,000

(4) Share Capital Account

	Rs.		Rs.
To Balance c/d	4,00,000	By Balance b/d	1,00,000
		By Vendor A/c (Business Purchase)	2,00,000
		By Bank (Issue for cash) (Balancing figure)	1,00,000
	4,00,000		4,00,000

(5)

Debenture issue (Face Value)	Rs. 2,00,000
Add : Premium on issue at 5%	10,000
Total Proceeds :	2,10,000

Illustration 1:

Prepare a Cash Flow Statement of Gaurav Ltd. on the basis of the information given in the Balance Sheet:

Balance Sheet of Gaurav Ltd.
as on 31st March 2021

Particulars	Note No.	2020	2021
I. Equity and Liabilities: **1. Shareholder's Funds:**			
a) Equity Share Capital		2,00,000	2,50,000
b) General Reserve		50,000	90,000
3. Non-current Liabilities:			
a) 12% Debentures		1,00,000	75,000
4. Current Liabilities:			
a) Creditors		20,000	30,000
b) Bills Payable		40,000	37,500
c) Outstanding Expenses		27,500	32,500
Total		**4,37,500**	**5,15,000**
II. Assets: **1. Non-Current Assets:**			
a) Goodwill		35,000	25,000
b) Land & Building		2,50,000	4,00,000
c) Machinery		60,000	65,000
2. Current Assets:			
a) Debtors		5,000	10,000
b) Stock		70,000	10,000
c) Cash		17,500	5,000
Total		**4,37,500**	**5,15,000**

Solution:

Cash Flow Statement
For the year ended 31st March 2021
(AS-3 Indirect Method)

Particulars	Details (₹)	Amount (₹)
1. Cash Flow from Operating Activities:		
Net Profit before Taxation and Extraordinary Items (General Reserve ₹90,000 - ₹50,000)		40,000
Add: Adjustment for:		
Goodwill Written Off	10,000	
Debenture Interest	12,000	22,000
Operating Profit before Working Capital Changes		62,000
Add: Decrease in Current Assets:		
Stock	60,000	
Increase in Current Liabilities:		
Outstanding Expenses	5,000	
Creditors	10,000	75,000
		1,37,000
Less: Increase in Current Assets:		
Debtors	(5,000)	
Decrease in Current Liabilities:		
Bills Payable	(2,500)	(7,500)
Net Cash from Operating Activities		**1,29,500**
2. Cash Flow from Investing Activities:		
Less: Purchase of Land and Building	(1,50,000)	
Less: Purchase of Machinery	(5,000)	(1,55,000)
Net Cash used in Investing Activities		**(1,55,000)**
3. Cash Flow from Financing Activities:		
Add: Proceeds from Equity Share Capital	50,000	
Less: Redemption of Debentures	(25,000)	
Less: Debenture Interest Paid	(12,000)	13,000
Net Cash from Financing Activities		**13,000**
4. Net Decrease in Cash and Cash Equivalent [1 + 2 + 3]		(12,500)
5. Add: Cash and Cash Equivalent at the beginning of the period		17,500
6. Cash and Cash Equivalent at the end of the period [4 + 5]		**5,000**

Income Statement Math

Problem 1

The following balances were taken from the books of Parnevik Corp. on December 31, 2015.

Interest revenue	€ 86,000	Accumulated depreciation—buildings	€ 28,000
Cash	51,000	Notes receivable	155,000
Sales revenue	1,280,000	Selling expenses	194,000
Accounts receivable	150,000	Accounts payable	170,000
Prepaid insurance	20,000	Bonds payable	100,000
Sales returns and allowances	150,000	Administrative and general expenses	97,000
Allowance for doubtful accounts	7,000	Accrued liabilities	32,000
Sales discounts	45,000	Interest expense	60,000
Land	100,000	Notes payable	100,000
Equipment	200,000	Loss from impairment of plant assets	120,000
Buildings	140,000	Share capital—ordinary	500,000
Cost of goods sold	621,000	Retained earnings	21,000
Accumulated depreciation—equipment	40,000		

Assume the total effective tax rate on all items is 34%.

Prepare an income statement; 100,000 ordinary shares were outstanding during the year.

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PARNEVIK CORP.

Income Statement

For the Year Ended December 31, 2015

Revenue		
Sales revenue		**€1,280,000**
Less: Sales returns and allowances	**€150,000**	
Sales discounts	**45,000**	**195,000**
Net sales revenue		**1,085,000**
Cost of goods sold		**621,000**
Gross profit		**464,000**
Selling expenses	**194,000**	

Selling expenses	194,000	
Admin. and general expenses.....	97,000	291,000
Other Income and Expense		
Loss from impairment of plant assets	(120,000)	
Interest revenue	86,000	(34,000)
Income from operations		139,000
Interest expense.....		60,000
Income before income tax		79,000
Income tax (€79,000 X .34)		26,860
Net income		€ 52,140
Earnings per share (€52,140 ÷ 100,000)		€0.5214*

Problem 2

The accountant of Weatherspoon Shoe Co. has compiled the following information from the company's records as a basis for an income statement for the year ended December 31, 2015.

Rent revenue	£ 29,000
Interest expense	18,000
Unrealized gain on non-trading equity securities, net of tax	31,000
Selling expenses	140,000
Income tax	30,600
Administrative expenses	181,000
Cost of goods sold	516,000
Net sales	980,000
Cash dividends declared	16,000
Loss on sale of plant assets	15,000

There were 20,000 ordinary shares outstanding during the year.

Instructions

1. Prepare a comprehensive income statement using the combined statement approach.

WEATHERSPOON SHOE CO.
Statement of Comprehensive Income
For the Year Ended December 31, 2015

Net sales		£980,000
Cost of goods sold		516,000
Gross profit		464,000
Selling expenses	£140,000	
Administrative expenses	181,000	321,000
Other income and expense		
Rent revenue	29,000	
Loss on sale of plant assets	(15,000)	14,000

Other income and expense		
Rent revenue	29,000	
Loss on sale of plant assets	(15,000)	14,000
Income from operations		157,000
Interest expense		18,000
Income before income tax		139,000
Income tax		30,600
Net income		108,400
Other Comprehensive income		
Unrealized gain on securities, net of tax		31,000
Comprehensive income		£139,400
Earnings per share (£108,400 ÷ 20,000)		£5.42

Problem 3

Presented below are selected ledger accounts of McGraw Corporation as of December 31, 2015.

Cash	€ 50,000
Administrative expenses	100,000
Selling expenses	80,000
Net sales	540,000
Cost of goods sold	260,000
Cash dividends declared (2015)	20,000
Cash dividends paid (2015)	15,000
Discontinued operations (loss before income tax)	40,000
Depreciation expense, not recorded in 2014	30,000
Retained earnings, December 31, 2014	90,000
Effective tax rate 30%	

Instructions

1. **(a)** Compute net income for 2015.
2. **(b)** Prepare a partial income statement beginning with income before income tax, and including appropriate earnings per share information. Assume 20,000 ordinary shares were outstanding during 2015.